8.3.3. Achievements of World Bank

The World Bank is said to be successful in achieving its primary objective of reconstruction and development of war ravaged nations. It helped greatly in the reconstruction of Europe after the World War II. It has been providing the developed and developing countries the same treatment in the process of growth.

i) It is noted that the Bank's membership has increased from the initial number of 30 countries to 68 countries in 1960 and to 151 countries in 1988. The IBRD has 189 member countries.

ii) The Bank grants medium and long-term loans (i.e., payable over a period of 15-20 years) for reconstruction and development purposes to the member countries. The actual term of a loan depends upon the estimated useful life of the equipment or plant financed.

iii) Initially the World Bank's loans were mainly directed at the European countries for financing their programmes of reconstruction. Later it changed its development loan strategy and lays more emphasis of financing schemes for the poor masses of the developing countries.

iv) The World Bank grants loans to member countries only for productive purposes particularly for agriculture, irrigation, power and transport. In other words, the Bank strengthens infrastructure needed for further development.

v) The International Development Association (IDA), the Soft Loan Window of the Bank provides loans to UDCs at very low rate of interest. However, the economic inequality among the member-countries goes on increasing. Many African countries are yet to improve their economic status.

8.3.4. India and World Bank:

The name "International Bank for Reconstruction and Development" was first suggested by India to the drafting committee. Since then the two have developed close relationship with each other from framing the policies of economic development in India to financing the implementation of these policies. The World Bank has given large financial assistance to India for economic development. Special mention may be made of the assistance World Bank has given to India in the development of infrastructure such as electric power, transport, communication, irrigation projects and steel industry.

The World Bank has assisted a number of projects in India. The IFC has identified five priority areas, namely, capital market development, direct foreign investment, access to foreign markets, equity investments in new and expanding companies and infrastructure. The World Bank has also assisted India in accelerating programmes of poverty alleviation and economic development. Until China became the member of World Bank in 1980, India was the largest beneficiary of the World Bank assistance.

12-Economics-Chapter_8.indd 161 23-12-2022 14:45:01